FOR FOUNDERS & SMALL BUSINESS OWNERS

The Business Finance Basics Guide

Cash Flow, Pricing for Profit, Invoicing, and Tracking — Without a Finance Degree.

A FREE GUIDE FROM

Digital Ninja Technologies

Global Design & Software Development Agency

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Most businesses that fail were profitable on paper. They failed because they ran out of cash. Understanding your numbers is not optional for a business owner. It is a survival skill. This guide explains the financial fundamentals every founder must know, in plain language.

01 The Difference Between Revenue, Profit, and Cash

These three terms are not the same thing and confusing them is one of the most dangerous mistakes a business owner can make.

Revenue

Everything your customers pay you before any costs are deducted. If you have 5 clients paying 1000 each per month, your revenue is 5000 per month. Revenue is the top line. It feels good but it does not tell you whether you are making money.

Profit

Revenue minus all your costs. If your revenue is 5000 and your costs are 4200, your profit is 800. Profit tells you whether your business model works. Net profit is after taxes. Gross profit is before overheads.

Cash

What is actually in your bank account right now. You can have high revenue, positive profit, and still run out of cash if customers are slow to pay, if you have paid expenses in advance, or if you have taken on stock or equipment. Cash is oxygen. Run out of it and everything stops.

ACTION CHECKLIST

[ ] Revenue, profit, and cash clearly distinguished

[ ] Monthly revenue tracked

[ ] Monthly profit calculated

> **Tip:** Review your revenue, profit, and cash position once a week minimum. Surprises in business finances are almost always bad ones.

02 Understand Your Cash Flow

Cash flow is the movement of money in and out of your business. Positive cash flow means more money coming in than going out. Negative cash flow means the opposite. Managing cash flow is the most important financial skill a small business owner can develop.

The cash flow cycle

You deliver work or sell a product. You invoice the client. The client pays (hopefully on time). You use that cash to pay your team, suppliers, and overhead. If the cycle takes too long, you run out of cash even with profitable contracts.

Common cash flow killers

Late-paying clients. Paying suppliers before clients pay you. Rapid growth that requires hiring and equipment before revenue arrives. Seasonal business with costs spread across months but revenue concentrated in a few.

How to improve cash flow

Invoice immediately upon completing work. Offer early payment discounts. Require deposits before starting work. Set clear payment terms of 14 or 30 days. Follow up on late payments promptly and consistently.

Build a cash flow forecast

List all expected income and all expected expenses for the next 90 days. See where the gaps are. A 90-day cash flow forecast gives you enough warning to take action before a crisis hits.

ACTION CHECKLIST

- [ ] Cash flow forecast created for next 90 days
- [ ] Payment terms clearly stated on all invoices
- [ ] Late payment follow-up process established

Tip: A business with 6 months of operating expenses in a reserve account can survive almost any setback. Build toward this from your first profitable month.

03 Price for Profit, Not Just to Cover Costs

Many business owners price their services or products to cover costs and add a small margin. This approach creates a business that survives but never grows. Pricing for profit means building the margin you need to invest, grow, and pay yourself properly.

The full cost calculation

List every cost that goes into delivering your product or service: materials, labour time, software, packaging, delivery, payment processing fees, a portion of your overhead. Most business owners undercount their true costs by 20 to 40%.

The profit margin goal

For service businesses, aim for a gross margin of 50 to 70%. For product businesses, 30 to 50% is typical depending on the category. Net profit (after all overheads) of 10 to 20% is a healthy small business. Less than 5% net margin means you are working very hard for very little.

Test price increases strategically

Most business owners are afraid to raise prices. Most are also undercharging. Test a 10 to 15% price increase on new clients only. If conversion rates do not drop, your previous prices were too low.

ACTION CHECKLIST

- [ ] True cost per service or product calculated
- [ ] Gross margin calculated for each offering
- [ ] Price increase tested on at least one offering

> **Tip:** Your price communicates your value. Consistently low prices signal low quality regardless of the actual quality of your work. Price where you want to be perceived.

04 Invoicing and Getting Paid

Sending great work but not getting paid for it on time is one of the most demoralising experiences in business. A professional invoicing system protects your cash flow and signals to clients that you run a serious operation.

Invoice immediately

The longer you wait to send an invoice, the longer you wait to get paid. Send your invoice the moment work is delivered or the moment a milestone is reached. Do not wait for a convenient time.

What every invoice must include

Your business name and contact details. Client name and contact details. Invoice number (sequential for record-keeping). Invoice date and payment due date. Clear description of work completed. Amount broken down if applicable. Payment methods accepted. Late payment terms.

Set payment terms and enforce them

Net 14 (pay within 14 days) is standard for small businesses. Net 30 is common for larger clients. State your terms clearly in your contract and on every invoice. Add a late payment fee (typically 1.5 to 2% per month) and apply it consistently.

Tools for invoicing

Wave (free), FreshBooks, Zoho Invoice, QuickBooks, or simple PDF invoices. Whatever you use, the critical thing is consistency. Send every invoice the same way, with the same format, every time.

ACTION CHECKLIST

- [ ] Invoice template created with all required elements
- [ ] Payment terms defined and stated on all invoices
- [ ] Late payment fee policy established

> **Tip:** Keep a record of every invoice sent, the amount, the due date, and the payment received date. This one habit will save you from dozens of cash flow surprises over the life of your business.

05 Basic Financial Tracking and Record Keeping

You do not need an accountant to start tracking your finances. You need a simple system you will actually use. Consistency in record keeping makes tax time easier, helps you spot problems early, and shows investors and lenders that you run a serious business.

The minimum viable finance setup

A business bank account separate from your personal account. A simple spreadsheet or accounting tool tracking all income and expenses. A folder (physical or digital) for all receipts and invoices. A monthly 30-minute review of your numbers.

Track these numbers monthly

Total revenue. Total expenses by category. Net profit. Cash in bank. Invoices outstanding and overdue. Expenses paid versus owed.

Simple accounting tools

Wave Accounting (free, excellent for small businesses). Zoho Books (free for one user). QuickBooks (paid, most widely used). Excel or Google Sheets with a simple template. Start with whatever you will actually use, not the most sophisticated option.

When to hire an accountant

Hire a bookkeeper or accountant when: your business is growing faster than you can track. You have employees or contractors. You are preparing for investment. Tax complexity is increasing. Or when financial admin is taking more than a few hours per week.

ACTION CHECKLIST

[ ] Separate business bank account opened
[ ] Monthly tracking system set up
[ ] First monthly financial review completed
[ ] All receipts organised from current month forward

Tip: The goal of basic financial tracking is not to become an accountant. It is to always know three things: how much money came in, how much went out, and how much is left. Everything else builds from there.

Ready to build on this foundation?

Digital Ninja Technologies is a global design and software development agency helping businesses and startups worldwide build websites, mobile apps, software, and games that actually work.

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